Practice workbook · The four factors of production

Meaning of production and producers; the four factors and how real inputs (natural resources, workers, machines, the organiser) are classified.

18 question parts: 1 worked-example retry and 17 further practice parts.
Name: _____ Class: _____ Date: _____

Practise one question type at a time. Attempt the part inside the red boundary; the rest of the question and any figures are kept for context. Write your working in the answer space.

The first question is a retry of the website worked example, without its solution. Check your answers online with 'Check my answer', or ask your teacher for the answer booklet.

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Type ID: ECO-T12-01

1. Question 1 · part i · 6 marks

2023 JUN · Paper 01

Worked-example retry · Attempt part i only.

1 (a) Which **one** of the following might have caused the movement from PPF_1 to PPF_2 in Figure 1 above?

(1)

- ☒ **A** Negative economic growth
- ☒ **B** Positive economic growth
- ☒ **C** Diseconomies of scale
- ☒ **D** Economies of scale

(b) A firm has total costs of $10 000 and sells each item at a price of $100. It sells 200 items. What is the **profit or loss** for the firm?

(1)

- ☒ **A** $20 000 profit
- ☒ **B** $10 000 profit
- ☒ **C** $20 000 loss
- ☒ **D** $10 000 loss

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1. Question 1 · part i · 6 marks

2023 JUN · Paper 01

Worked-example retry · Attempt part i only.

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(c) What is meant by the term privatisation?

(2)

(d) State **one** reason why the government regulates competition in the economy.

(1)

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(e) Define the term congestion.

(1)

1. Question 1 · part i · 6 marks

2023 JUN · Paper 01

Worked-example retry · Attempt part i only.

Figure 2 shows some of the monthly production costs for a firm which makes furniture.

Production costs	€
Rent	30 000
Raw materials	16 500
Insurance	7 000
Labour (payment depends on output)	95 000

Figure 2

(f) Calculate the **total variable costs** for the firm each month. You are advised to show your working.

(2)

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1. Question 1 · part i · 6 marks

2023 JUN · Paper 01

Worked-example retry · Attempt part i only.

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Figure 3 shows the market for apples.

(g) Using the diagram below, draw the likely effects on the market for apples following an increase in the advertising of apples. Label the new curve, the new equilibrium price and the new equilibrium quantity.

(3)

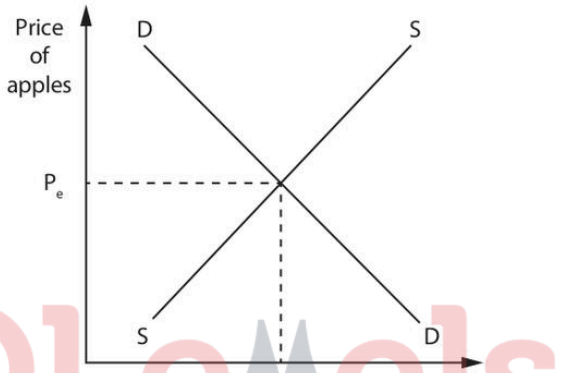


Figure 3

A firm produces tennis balls. There are a number of stages in the process of producing tennis balls. The firm uses division of labour in its factory.

(h) Explain **one** advantage of using division of labour for the firm.

(3)

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1. Question 1 · part i · 6 marks

2023 JUN · Paper 01

Worked-example retry · Attempt part i only.

Drinking water in the Canary Islands has to be filtered by machines to remove the salt from sea water. Samples are taken by production workers to ensure salt and impurities have been removed.

(i) With reference to the data above and your knowledge of economics, analyse how all four factors of production might be used to produce drinking water in the Canary Islands.

(6)

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1. Question 1 · part i · 6 marks

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Worked-example retry · Attempt part i only.

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(Total for Question 1 = 20 marks)

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1. Question 1 · part i · 6 marks · Working and answer

Working and answer

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2. Question 1 · part a · 1 mark

2019 JUN · Paper 01

Further practice · Attempt part a only.

1 (a) Which **one** of the following is a factor of production?

(1)

- ☒ **A** Land
- ☒ **B** Profit
- ☒ **C** Wages
- ☒ **D** Manufacturing

(b) A firm has total fixed costs of $40 000 per month and variable costs of $150 per unit. If it produces 1,000 units, what are the total costs per month for the firm?

(1)

- ☒ **A** $190 000
- ☒ **B** $150 000
- ☒ **C** $41 150
- ☒ **D** $40 150

(c) What is meant by the term demand?

(2)

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2. Question 1 · part a · 1 mark · Working and answer

Working and answer

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3. Question 1 · part e · 1 mark

2020 JAN · Paper 01

Further practice · Attempt part e only.

1 (a) Which **one** of the following values shows perfect price inelasticity of supply?

(1)

- ☒ **A** 1.5
- ☒ **B** 1
- ☒ **C** 0.5
- ☒ **D** 0

(b) A firm has total costs of $1 250 000 per month and variable costs of $100 per unit. If it produces 5,000 units, calculate the **total fixed costs** per month for the firm.

(1)

- ☒ **A** $1 750 000
- ☒ **B** $1 250 100
- ☒ **C** $1 249 900
- ☒ **D** $750 000

(c) What is meant by the term supply?

(2)

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3. Question 1 · part e · 1 mark

2020 JAN · Paper 01

Further practice · Attempt part e only.

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(d) State **one** example of an occupation that is in the secondary sector of the economy.

(1)

(e) Define the term labour.

(1)

(f) Calculate the **income elasticity of demand (YED)** for a good if income increases by 25% and quantity demanded increases by 10%. You are advised to show your working.

(2)

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3. Question 1 · part e · 1 mark · Working and answer

Working and answer

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4. Question 2 · part b · 1 mark

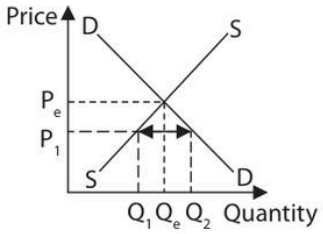
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Further practice · Attempt part b only.

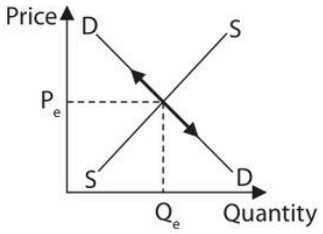
2 (a) Which **one** of the following diagrams shows excess demand?

(1)

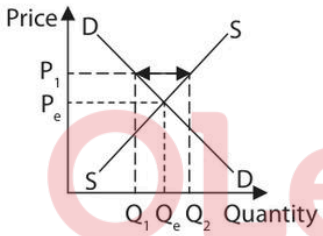
☒ **A**



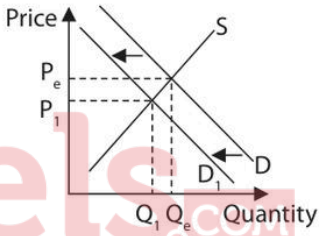
☒ **B**



☒ **C**



☒ **D**



(b) Land can be described as which **one** of the following?

(1)

☒ **A** A diseconomy of scale

☒ **B** A factor of production

☒ **C** A variable cost

☒ **D** A market failure

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4. Question 2 · part b · 1 mark

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Further practice · Attempt part b only.

(c) State the formula for profit.

(1)

(d) Calculate the **price elasticity of supply (PES)** for a product when price increases by 30% and quantity supplied increases by 36%. You are advised to show your working.

(2)

(e) Define the term finance.

(1)

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4. Question 2 · part b · 1 mark · Working and answer

Working and answer

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5. Question 1 · part i · 6 marks

2020 NOV · Paper 01

Further practice · Attempt part i only.

1 (a) Which **one** of the following is the term for the next best alternative given up when a choice is made?

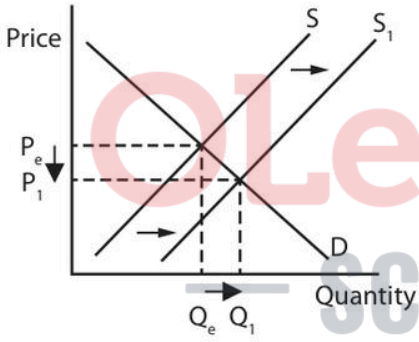
(1)

- ☒ **A** Business competition
- ☒ **B** Capital investment
- ☒ **C** Opportunity cost
- ☒ **D** Spare capacity

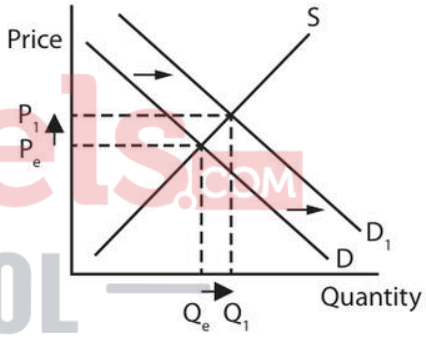
(b) Which **one** of the following options shows the effects on the market for motorcycle helmets after a fall in the price of motorcycles?

(1)

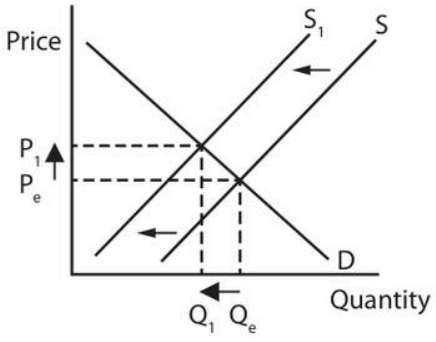
☒ **A**



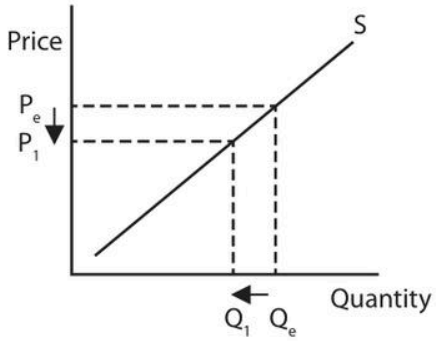
☒ **B**



☒ **C**



☒ **D**



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5. Question 1 · part i · 6 marks

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Further practice · Attempt part i only.

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(c) What is meant by the term external costs?

(2)

(d) State **one** example of an external benefit.

(1)

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The problem of scarcity is that there are unlimited wants and finite resources.

(e) Define the term wants.

(1)

5. Question 1 · part i · 6 marks

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Further practice · Attempt part i only.

Private facilities in which swimmers can change clothes are available at the swimming pool in Ciney, Belgium. The quantity demanded for these facilities during each of the first three months of 2019 is shown in Figure 1.

Month	Quantity of private facilities demanded
January	3,600
February	3,200
March	3,100

Figure 1

(f) Calculate the **excess demand** for private changing facilities for the first three months of 2019 if the quantity supplied during each month was 3,000 (9,000 in total). You are advised to show your working.

(2)

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5. Question 1 · part i · 6 marks

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Further practice · Attempt part i only.

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(g) Using the diagram below, draw the likely effects on the market for bread after a decrease in the population. Label the new curve, the new equilibrium price and the new equilibrium quantity.

(3)

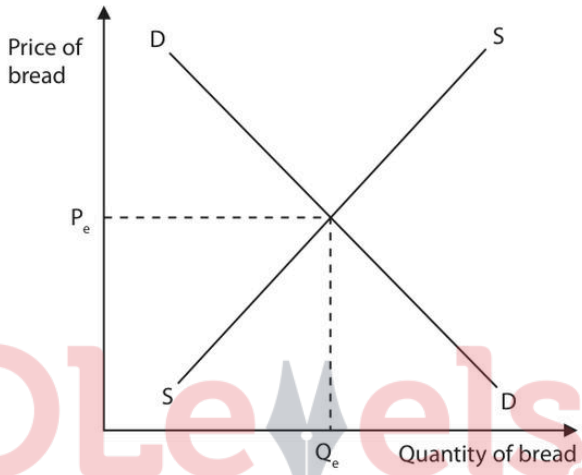


Figure 2

The music entertainment industry is dominated by a few main firms. These are BMG, EMI Group, Sony, Universal Music Group and Warner.

(h) Explain **one** possible barrier to entry a new firm might face when trying to enter this industry.

(3)

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5. Question 1 · part i · 6 marks

2020 NOV · Paper 01

Further practice · Attempt part i only.

Coffee is a popular drink in many countries around the world. Beans are picked by hand from coffee plants once the fruit is ready to harvest. It is then put through a process which includes sorting the type of bean and transforming it from its natural state. It can be sold as a bean, ground to make coffee or even as the instant product. Machines are used for most of the process but cannot identify which beans are ready to pick.

(i) With reference to the data above and your knowledge of economics, analyse why all four factors of production might be used to produce coffee.

(6)

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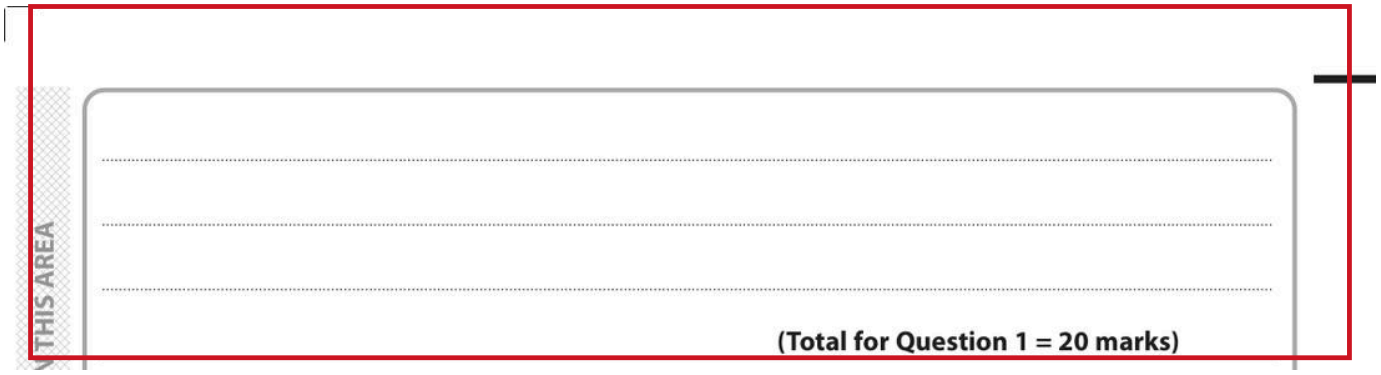
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5. Question 1 · part i · 6 marks

2020 NOV · Paper 01

Further practice · Attempt part i only.



Working and answer

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6. Question 1 · part d · 1 mark

2021 JUN · Paper 01

Further practice · Attempt part d only.

1 (a) Which **one** of the following does a point on a production possibility curve (PPC) represent?

(1)

- ☒ **A** Where capital goods should be produced
- ☒ **B** How the production of all goods can be increased
- ☒ **C** Government revenue from production
- ☒ **D** A given amount of resources being fully employed

Andreas is a plumber. Unlike his competitors, he is prepared to work at the weekend. However, he charges customers 50% more for his services at the weekend.

(b) Which **one** of the following describes this economic assumption?

(1)

- ☒ **A** Businesses aim to maximise their profit
- ☒ **B** Producers may complete charitable work
- ☒ **C** Consumers sometimes copy others' behaviour
- ☒ **D** Governments try to increase the number of days worked

(c) What is meant by the term economies of scale?

(2)

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6. Question 1 · part d · 1 mark

2021 JUN · Paper 01

Further practice · Attempt part d only.

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(d) State **one** example of a factor of production that can be classified as land.

(1)

(e) Define the term monopoly.

(1)

Alfie provides a dog-walking service to dog owners in his local area. After a successful first year he increased prices by 1.5% and quantity demanded fell by 1.1%.

(f) Calculate, to two decimal places, the **price elasticity of demand (PED)** for Alfie's dog-walking service. You are advised to show your working.

(2)

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6. Question 1 · part d · 1 mark · Working and answer

Working and answer

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7. Question 2 · part f · 2 marks

2021 NOV · Paper 01

Further practice · Attempt part f only.

2 A country is able to produce agricultural and non-agricultural goods with a given amount of resources. Its production possibility curve (PPC) is shown in Figure 2.

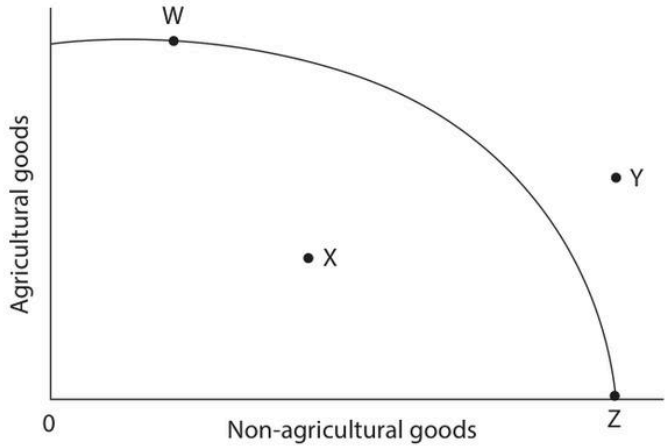


Figure 2

(a) Which **one** of the following points shows unemployed resources? **(1)**

- ☒ **A** W
- ☒ **B** X
- ☒ **C** Y
- ☒ **D** Z

(b) A trade union is an organisation that aims to protect **(1)**

- ☒ **A** consumer interests
- ☒ **B** the environment
- ☒ **C** employee rights
- ☒ **D** the government

(c) State **one** reason why firms stay small. **(1)**

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7. Question 2 · part f · 2 marks

2021 NOV · Paper 01

Further practice · Attempt part f only.

A firm increases supply by 2.7% following a price increase of 4.9%.

(d) Calculate, to two decimal places, the **price elasticity of supply (PES)** for the firm.
You are advised to show your working.

(2)

(e) Define the term price-maker.

(1)

(f) Describe **one** reason why a computer can be a factor of production.

(2)

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7. Question 2 · part f · 2 marks

2021 NOV · Paper 01

Further practice · Attempt part f only.

Abi owns a small cafe. It is often very busy and customers may have to wait for a table. Abi is considering whether to move to a larger premises. A larger property has become available but it would cost almost double the current rent.

(g) Explain **one** factor that could affect whether Abi is able to expand her business.

(3)

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7. Question 2 · part f · 2 marks · Working and answer

Working and answer

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8. Question 1 · part e · 1 mark

2022 JUN · Paper 01 (regional R)

Further practice · Attempt part e only.

1 (a) Which **one** of the following is defined as 'breaking down the production process into smaller tasks'?

(1)

- ☒ **A** Division of labour
- ☒ **B** Innovation
- ☒ **C** Labour intensive
- ☒ **D** Productivity

A firm sells 40 units of a good. Variable costs are $4 per unit. Customers pay $10 per unit.

(b) Which **one** of the following equals $400?

(1)

- ☒ **A** Price
- ☒ **B** Total costs
- ☒ **C** Profit
- ☒ **D** Total revenue

(c) What is meant by the term inferior good?

(2)

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8. Question 1 · part e · 1 mark

2022 JUN · Paper 01 (regional R)

Further practice · Attempt part e only.

(d) State **one** reason why a demand curve will shift to the left.

(1)

(e) Define the term production.

(1)

Inny provides a window cleaning service to homeowners in his local area. He recently increased prices by 1.6% and quantity demanded fell by 2.1%.

(f) Calculate, to two decimal places, the **price elasticity of demand (PED)** for Inny's window cleaning service. You are advised to show your working.

(2)

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8. Question 1 · part e · 1 mark · Working and answer

Working and answer

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9. Question 1 · part a · 1 mark

2022 JUN · Paper 01

Further practice · Attempt part a only.

1 (a) Which **one** of the following is a factor of production?

(1)

- ☒ **A** Taxation
- ☒ **B** Gym workout
- ☒ **C** Enterprise
- ☒ **D** Restaurant meal

A firm charges a price of $160 per item and has average costs of $120 per item. It sells 20 000 items.

(b) What is the total revenue for the firm?

(1)

- ☒ **A** $19 200
- ☒ **B** $20 160
- ☒ **C** $2 400 000
- ☒ **D** $3 200 000

(c) What is meant by the term normal good?

(2)

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9. Question 1 · part a · 1 mark · Working and answer

Working and answer

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10. Question 1 · part a · 1 mark

2023 JAN · Paper 01 (regional R)

Further practice · Attempt part a only.

1 (a) Water is an example of which factor of production?

(1)

- ☒ **A** Land
- ☒ **B** Labour
- ☒ **C** Capital
- ☒ **D** Enterprise

(b) A firm has total costs of $700. It sells 300 items at a price of $20 each. What is the **profit** for the firm?

(1)

- ☒ **A** $5300
- ☒ **B** $6000
- ☒ **C** $13700
- ☒ **D** $14000

(c) What is meant by the term supply?

(2)

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10. Question 1 · part a · 1 mark · Working and answer

Working and answer

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11. Question 1 · part d · 1 mark

2023 JAN · Paper 01

Further practice · Attempt part d only.

1 (a) What is the name given to a firm that manufactures cars?

(1)

- ☒ **A** A primary sector firm
- ☒ **B** A secondary sector firm
- ☒ **C** A tertiary sector firm
- ☒ **D** A service sector firm

A firm that employs 540 workers has a total monthly output of 27,000 units.

(b) What is the monthly labour productivity of the firm?

(1)

- ☒ **A** 0.02 units
- ☒ **B** 50 units
- ☒ **C** 27,540 units
- ☒ **D** 14,580,000 units

(c) What is meant by the term division of labour?

(2)

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11. Question 1 · part d · 1 mark

2023 JAN · Paper 01

Further practice · Attempt part d only.

(d) State **one** factor of production.

(1)

(e) Define the term public sector.

(1)

Yusef paints portraits of tourists who visit his home town. He recently reduced the price he charges by 2.5% and quantity demanded increased by 3.2%.

(f) Calculate, to two decimal places, the **price elasticity of demand (PED)** for Yusef's portraits. You are advised to show your working.

(2)

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11. Question 1 · part d · 1 mark · Working and answer

Working and answer

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12. Question 2 · part e · 1 mark

2023 JUN · Paper 01 (regional R)

Further practice · Attempt part e only.

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2 (a) Which **one** of the following is the formula to calculate price elasticity of supply (PES)? **(1)**

- ☒ **A** $\frac{\text{Percentage change in quantity demanded}}{\text{Percentage change in price}}$
- ☒ **B** $\frac{\text{Percentage change in price}}{\text{Percentage change in quantity demanded}}$
- ☒ **C** $\frac{\text{Percentage change in quantity supplied}}{\text{Percentage change in price}}$
- ☒ **D** $\frac{\text{Percentage change in price}}{\text{Percentage change in quantity supplied}}$

A court in China ordered a firm to pay 10 000 Yuan because it polluted a local river.

(b) This is an example of which **one** of the following? **(1)**

- ☒ **A** A fine
- ☒ **B** A permit
- ☒ **C** A subsidy
- ☒ **D** A tax

(c) State **one** example of an external benefit. **(1)**

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P 7 4 0 5 7 A 0 7 2 4

12. Question 2 · part e · 1 mark

2023 JUN · Paper 01 (regional R)

Further practice · Attempt part e only.

Sathvinder provides a cleaning service to homeowners in a small town. She recently decreased prices by 1.2% and quantity demanded increased by 1.9%.

(d) Calculate, to two decimal places, the **price elasticity of demand (PED)** for Sathvinder's cleaning service. You are advised to show your working.

(2)

(e) Define the term entrepreneur.

(1)

(f) Describe **one** reason why water is a factor of production.

(2)

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P 7 4 0 5 7 A 0 8 2 4

12. Question 2 · part e · 1 mark · Working and answer

Working and answer

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13. Question 2 · part f · 2 marks

2023 JUN · Paper 01 (regional R)

Further practice · Attempt part f only.

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2 (a) Which **one** of the following is the formula to calculate price elasticity of supply (PES)? **(1)**

☒ **A** $\frac{\text{Percentage change in quantity demanded}}{\text{Percentage change in price}}$

☒ **B** $\frac{\text{Percentage change in price}}{\text{Percentage change in quantity demanded}}$

☒ **C** $\frac{\text{Percentage change in quantity supplied}}{\text{Percentage change in price}}$

☒ **D** $\frac{\text{Percentage change in price}}{\text{Percentage change in quantity supplied}}$

A court in China ordered a firm to pay 10 000 Yuan because it polluted a local river.

(b) This is an example of which **one** of the following? **(1)**

☒ **A** A fine

☒ **B** A permit

☒ **C** A subsidy

☒ **D** A tax

(c) State **one** example of an external benefit. **(1)**

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P 7 4 0 5 7 A 0 7 2 4

13. Question 2 · part f · 2 marks

2023 JUN · Paper 01 (regional R)

Further practice · Attempt part f only.

Sathvinder provides a cleaning service to homeowners in a small town. She recently decreased prices by 1.2% and quantity demanded increased by 1.9%.

(d) Calculate, to two decimal places, the **price elasticity of demand (PED)** for Sathvinder's cleaning service. You are advised to show your working.

(2)

(e) Define the term entrepreneur.

(1)

(f) Describe **one** reason why water is a factor of production.

(2)

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13. Question 2 · part f · 2 marks

2023 JUN · Paper 01 (regional R)

Further practice · Attempt part f only.

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Figure 2 shows the supply of rice in a region during 2021.

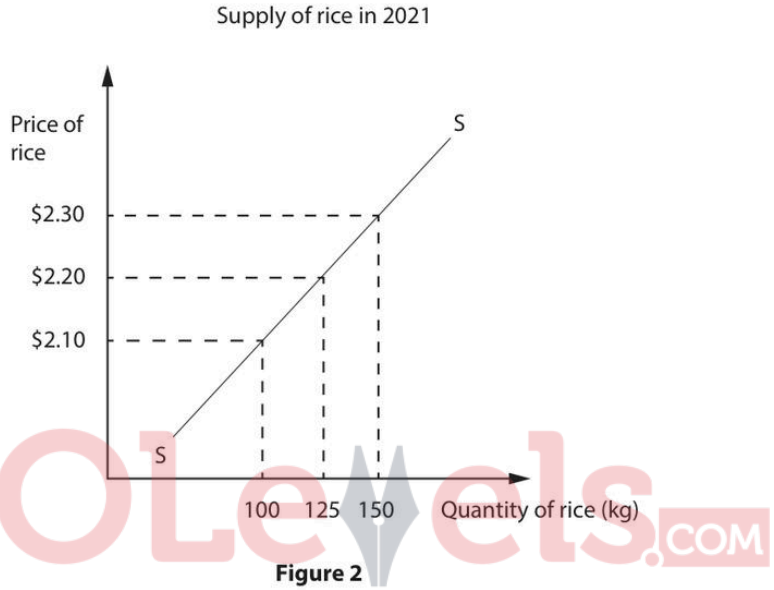


Figure 2

The equilibrium price of rice is $2.20 per kg.

(g) Explain **one** effect on the supply of rice following a change in its equilibrium price.

(3)

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13. Question 2 · part f · 2 marks · Working and answer

Working and answer

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14. Question 2 · part e · 2 marks

2023 NOV · Paper 01

Further practice · Attempt part e only.

2 (a) A firm employing 135 workers has a total output of 33,750 units each month. What is the monthly labour productivity of the firm?

(1)

- ☒ **A** $250
- ☒ **B** $4 556 250
- ☒ **C** 250 units
- ☒ **D** 4,556,250 units

(b) Which **one** of the following is a possible cause of positive economic growth?

(1)

- ☒ **A** Decreasing population
- ☒ **B** Decreasing productivity
- ☒ **C** Increasing unemployment
- ☒ **D** Increasing technological advancements

(c) What is meant by the term opportunity cost?

(2)

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14. Question 2 · part e · 2 marks

2023 NOV · Paper 01

Further practice · Attempt part e only.

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Figure 3 shows some of the production costs in March for a firm manufacturing clothing in Bangladesh.

Production costs	Bangladeshi Taka (Tk)
Rent	20 250
Raw materials	10 050
Advertising	5 125
Labour (paid in direct proportion to output)	105 000

Figure 3

(d) Calculate the **total fixed costs** for the firm in March. You are advised to show your working.

(2)

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(e) Describe **one** reason why an entrepreneur is a factor of production.

(2)

14. Question 2 · part e · 2 marks

2023 NOV · Paper 01

Further practice · Attempt part e only.

In 2028, the lowest age at which workers can receive a private pension in the UK will rise from 55 to 57. This means that the age of retirement will increase for many people.

(f) Explain **one** advantage for firms of an increase in the retirement age.

(3)

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14. Question 2 · part e · 2 marks · Working and answer

Working and answer

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15. Question 1 · part i · 6 marks

2024 NOV · Paper 01

Further practice · Attempt part i only.

1 (a) Which **one** of the following is a definition of opportunity cost?

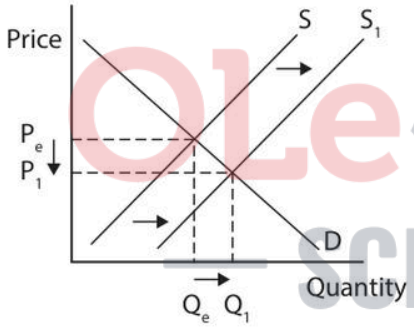
(1)

- ☒ **A** Rivalry that exists between firms
- ☒ **B** Investment in capital goods
- ☒ **C** The next best alternative given up
- ☒ **D** Unused resources

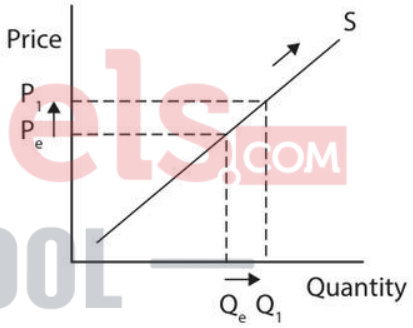
(b) Which **one** of the following diagrams shows the likely effect on the market for cars after an increase in subsidies to car manufacturers?

(1)

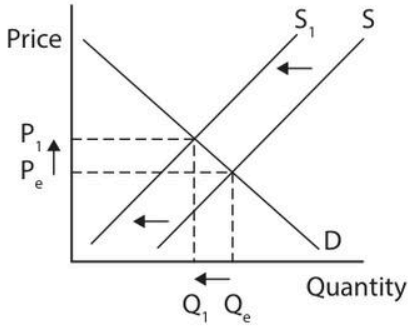
☒ **A**



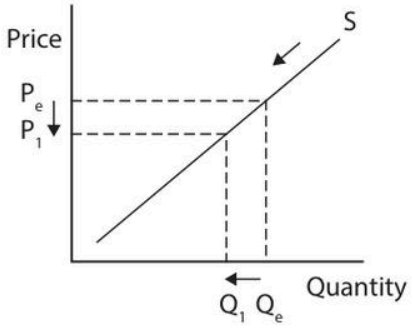
☒ **B**



☒ **C**



☒ **D**



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15. Question 1 · part i · 6 marks

2024 NOV · Paper 01

Further practice · Attempt part i only.

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(c) What is meant by the term external benefit?

(2)

(d) State **one** example of an external cost.

(1)

(e) Define the term takeover.

(1)

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15. Question 1 · part i · 6 marks

2024 NOV · Paper 01

Further practice · Attempt part i only.

(f) Calculate, to two decimal places, the **price elasticity of supply (PES)** for a good if price decreases by 9.4% and quantity supplied decreases by 3.7%. You are advised to show your working.

(2)

Figure 1 shows the market for rice.

(g) Using the diagram below, draw the likely effect of an increase in the population on the market for rice. Label the new curve, the new equilibrium price and the new equilibrium quantity.

(3)

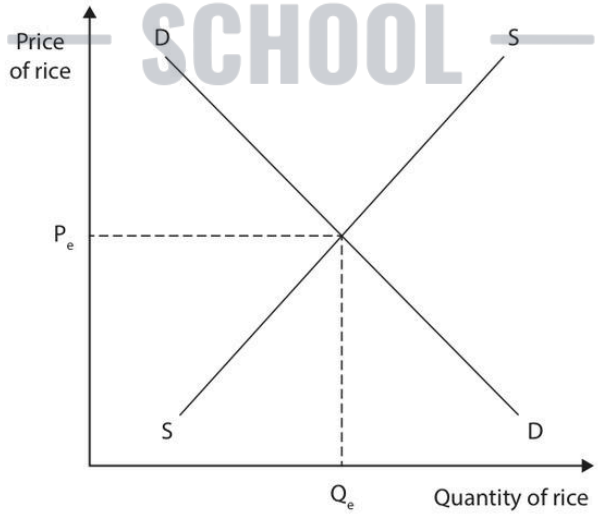


Figure 1

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15. Question 1 · part i · 6 marks

2024 NOV · Paper 01

Further practice · Attempt part i only.

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Six months after the price for a soft drink increased, its price elasticity of demand (PED) changed from –1.5 to –2.0.

(h) Explain **one** reason why demand for a product, such as a soft drink, usually becomes more price elastic over time.

(3)

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15. Question 1 · part i · 6 marks

2024 NOV · Paper 01

Further practice · Attempt part i only.

The main ingredient of chocolate is cocoa. Firstly, cocoa pods are picked from trees. This is mostly done by hand to protect the trees. Cocoa beans are removed from the pods by hand or by machine, before the beans are roasted in ovens. Other ingredients, such as sugar, are added during further stages in the production process.

(i) With reference to the data above and your knowledge of economics, analyse how all four factors of production might be used to produce chocolate.

(6)

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15. Question 1 · part i · 6 marks

2024 NOV · Paper 01

Further practice · Attempt part i only.



15. Question 1 · part i · 6 marks · Working and answer

Working and answer

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16. Question 1 · part d · 1 mark

2025 JUN · Paper 01 (regional R)

Further practice · Attempt part d only.

1 (a) Which **one** of the following can represent a point on a production possibility curve (PPC)?

(1)

- ☒ **A** Where consumer goods should be produced
- ☒ **B** How the production of all goods can be increased
- ☒ **C** Total revenue from production
- ☒ **D** Production which is obtainable

On one day a month, a firm charges each customer a price of $10 for providing one hour of gardening services. The cost to the firm for providing the service to each customer is $15.

(b) Which **one** of the following describes why the firm might do this?

(1)

- ☒ **A** Producers aim to maximise their profit
- ☒ **B** Producers may complete charitable work
- ☒ **C** Consumers have habits that are hard to give up
- ☒ **D** Consumers sometimes copy others' behaviour

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(c) What is meant by the term economies of scale?

(2)

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16. Question 1 · part d · 1 mark

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Further practice · Attempt part d only.

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(d) State **one** example of an item that can be classified as capital.

(1)

(e) Define the term price-maker.

(1)

(f) Calculate, to two decimal places, the **price elasticity of demand (PED)** for a good if the price decreases by 4.7% and the quantity demanded increases by 1.8%.
You are advised to show your working.

(2)

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16. Question 1 · part d · 1 mark · Working and answer

Working and answer

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17. Question 2 · part e · 2 marks

2025 JUN · Paper 01

Further practice · Attempt part e only.

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2 A country is able to produce agricultural and non-agricultural goods with a given amount of resources. Its production possibility curve (PPC) is shown in Figure 2.

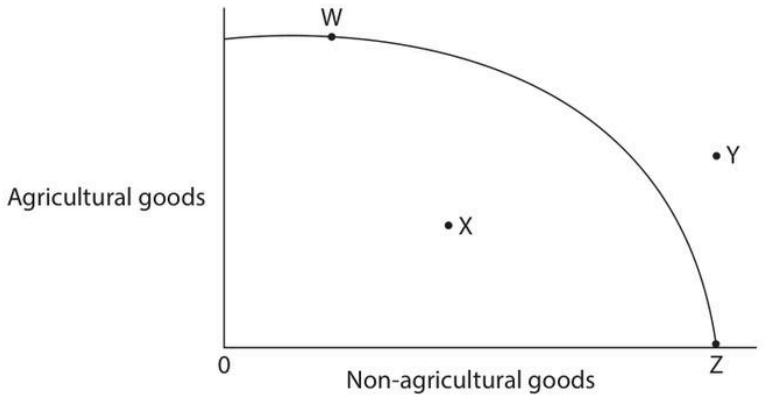


Figure 2

(a) Which **one** of the following options shows unobtainable production?

(1)

- ☒ **A** W
- ☒ **B** X
- ☒ **C** Y
- ☒ **D** Z

(b) Which **one** of the following is a factor that may affect the supply of labour?

(1)

- ☒ **A** Age distribution of population
- ☒ **B** Economies of scale
- ☒ **C** Firms aiming to maximise profit
- ☒ **D** Long run average costs

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17. Question 2 · part e · 2 marks

2025 JUN · Paper 01

Further practice · Attempt part e only.

A firm increases supply by 5.4% following a price increase of 7.8%.

(c) Calculate, to two decimal places, the **price elasticity of supply (PES)** for the firm.
You are advised to show your working.

(2)

(d) What is meant by the term innovation?

(2)

(e) Describe **one** reason why a car mechanic is a factor of production.

(2)

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17. Question 2 · part e · 2 marks

2025 JUN · Paper 01

Further practice · Attempt part e only.

In 2023, the President of Argentina announced plans to privatise the state-owned broadcaster, Radio Nacional.

(f) Explain **one** possible disadvantage of this privatisation for other broadcasters in Argentina.

(3)

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17. Question 2 · part e · 2 marks · Working and answer

Working and answer

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18. Question 1 · part b · 1 mark

2025 NOV · Paper 01

Further practice · Attempt part b only.

1 (a) In which sector of the economy is house building?

(1)

- ☒ **A** Service
- ☒ **B** Primary
- ☒ **C** Secondary
- ☒ **D** Tertiary

A firm produces goods that are made from wood.

(b) Wood is an example of which **one** of the following factors of production?

(1)

- ☒ **A** Capital
- ☒ **B** Enterprise
- ☒ **C** Labour
- ☒ **D** Land

(c) What is meant by the term total costs?

(2)

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18. Question 1 · part b · 1 mark · Working and answer

Working and answer

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